Unit-6

Product decision

- Concept and level of product
- Product classification and market considerations
- Product life cycle
- New product development process
- Branding strategies: branding objectives, types of brand and concept of brand equity
- Packaging: functions and levels of packaging, essentials of a good packaging
- Product line and mix strategies
- Service product strategies

Concept of product

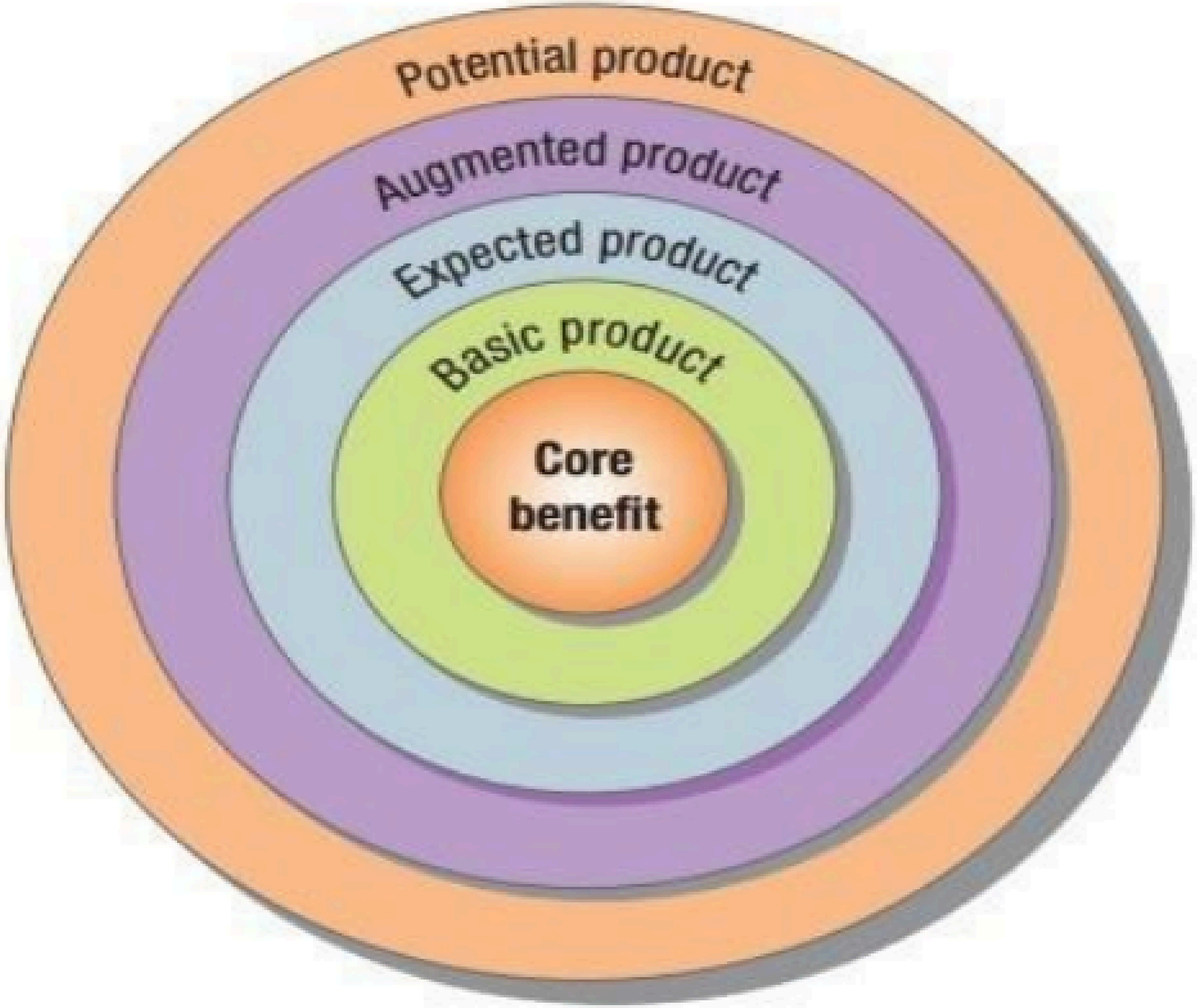
- A product is an article/substance that is manufactured or refined for sale.
- It is one of the important component of marketing-mix.
- A product is any item or service that is sold to serve a customer's need or want. It can be both physical or virtual.
- In another word, a product can be defined as anything that can be offered to a market to satisfy the needs or wants of the customer.
- Main goal of organization is to match the product to the needs of the customers.
  - According to Peter Bannett, “A product is anything an organization or individual offers for exchange that may satisfy customers or customers’ needs or the marketer’s own needs”.
- So, a product is anything an organization offers for exchange that may satisfy customer’s need.

A product can also be defined in four ways:

- **As a tangible product:** physical attributes assembled in identifiable form i.e. name, color, style, taste, size, weight, durability, quality, efficiency in use etc.

- **As an extended product:** it is not only physical attribute but also include cluster of image and service feature. i.e. after sale service, user manual. [mobile phone with charger, data cable, instructions for user, maintenance, etc.]
- **As a service product:** it is related to intangible nature of the product. i.e. insurance service, banking service, transportation service, tourism service. A service product may be supported by documents. Like: contract paper, tickets etc.
- **As a total product:** it focuses on what a product means to the customer not the seller. It refers to broad spectrum of tangible and intangible benefits.

Levels of product (defined by Philip



Kotler)

1. Core product: first level of product, this is the basic product and the focus is on the purpose for which the product is intended. For example, a warm coat will protect you from the cold and the light rain. The more important core benefits the product provides, the more that customer is satisfied and need the product.

2. **Actual product/basic product:** This represents all the qualities of the product. For a warm coat this is about fit, material, rain repellent ability, high-quality buttons, etc.

3. **Expected product**: This is about all aspects the consumer expects to get when they purchase a product. That coat should be really warm and protect from the weather and the wind and be comfortable when riding a bike.

4. **Augmented product**: The Augmented Level for a product refers to all additional factors which sets the product apart from that of the competition. And this particularly involves brand identity and image. Is that warm coat in style, its color trendy and made by a well-known fashion brand? But also factors like service, warranty and good value for money play a major role in this.

5. **Potential product**: This is about augmentations and transformations that the product may undergo in the future. It will be a new product for the organization. (product is not launched yet but will be launched in the future) For example, a warm coat that is made of a fabric that is as thin as paper and therefore light as a feather that allows rain to automatically slide down.

Product Classification and marketing

considerations

• Product classification on the basis of type of buyers and product use: There are two types of buyers:

Individual buyers: buys for final consumption

Business (industrial) buyers: for resale or further processing. i.e. raw

material • Product can be classified into two categories:

1. Consumer product

2. Industrial product

1. Consumer Product

Consumer products are goods or services purchased by an individual for personal or household use. Consumer products are classified into 4 categories, i.e. Convenience products, Shopping products, Specialty products and Unsought products.

a) Convenience Products: those products which are relatively inexpensive, purchased on a regular basis with minimum time and effort because the buyer has knowledge of product characteristics prior to shopping, no research required. E.g. salt, sugar, chewing gum, newspaper, umbrella etc.

- **Features of convenience products**:

  - Buy frequently
  - Less price
  - Consumable in nature
  - Buy from a convenient location
  - No consideration about price and quality
  - Not necessary to make purchase plan

Types of convenience products:

- Staples: these are low priced items that are routinely purchased on a regular basis. Buyers spend very little time and effort to purchase these products like: milk, bread, flour, soft drink, salt etc.

- Impulse: these products are purchased without prior planning before entering the store. Purchased these are heavily motivated by the advertisements. Like: chewing gum, ice cream, candy, chips etc.

• Emergency: these products are items, which are purchased out of the urgent need. Like: an umbrella during a rainy season, painkiller for headache, a tire to replace a flat tire etc.

Marketing considerations for convenience products

• Make available these products at most convenient store location though intensive distribution i.e. retail outlets, mass advertising, in-store display, well designed store outlet.

• Self-service to minimize purchase time and charge relative low price,

• Distribute goods through retail stores in small lot sizes,

• Manufactures promote and advertise convenience goods.

b) Shopping products: shopping products are those products for which the consumers lack sufficient information about product alternatives and their attributes and therefore must acquire further knowledge to make purchase decision. Like furniture, bicycles, clothing, investment plans offered by financial institutions etc.

• **Features of shopping products**:

- Infrequent purchase
- The number of shops are less as compared to convenience

product - High price

- Purchase plan can be postponed
- Time consuming
- Demand directly affected by the fashion trends
- Comparatively durable products

Types of shopping products:

- Homogeneous products: the product, consumer perceive little difference (price, brand) in the core benefits between competing brands are homogeneous products. Like: refrigerator, washing machine etc.
- Heterogeneous products: those products differ from one another in style, design, and personal taste. Like dental service, winter coat, musical instruments etc.
- Attribute-based products: which consumer gather information in regard to product features, warranty, performance, option and evaluate. Like: Sony electronic, Raymond suiting etc.
- Price-based products: which the consumers judge products attributes and prefer the cheapest item. Like kitchen appliances, general electronic products etc.

Marketing considerations for shopping products

- Shopping products should be allotted of varied color, size and other features. - Marketers should deal in well-known brands----consumers are quality conscious - Provide adequate customer warranties and follow-up service

- Manufactures use small number of retailers as they are not so widely available - Place their product/store near to competing brands

c) Specialty products: those products for which the consumers are willing to make a significant purchase effort and spend adequate time to acquire them. Those are expensive, however customer are ready to pay a higher price. They don't purchase if their brand is not available. Like specific brand of cars, mobiles, bags, watches, photographic equipment etc.

- **Features of specialty products**:

  - Unique characteristics
  - High quality
  - Considered as luxury product
  - Expensive products

- Not frequently purchased
- It offer high status in mind
- Not accept the alternative brands (high brand loyalty)

<u>Marketing considerations for specialty products</u>

- The marketing emphasis for specialty products should be on maintaining the uniqueness and quality of features so that consumers are loyal.
- Short distribution channel must be used
- Branding is important so, it must be considered
- Warranty must be provided
- Both manufacturer and retailer extensively advertise the product

d) Unsought products: those are typically grouped under the unusual type of products. Consumer goods that have very little awareness or desire to be bought and consumed are considered unsought. Like life insurance, emergency medical services etc.

- **<u>Features of unsought products</u>**:
  - Rarely purchase and sell

- These products are normally not bought
- It required a lot of advertisement, personal selling and marketing effort. - No brand loyalty
- No purchase plan is made

- **Marketing considerations for unsought products**
  - Marketers must focus on aggressive advertisement that arises interest to consumers. - Short distribution channel must be used
  - Packaging style, design is not considered in the selling
  - Personal selling and advertisement is used to promote the product

2. Industrial Products

Industrial products are also known as business products that are purchased primarily for production of other products. Like raw materials, machinery, equipment, tools etc. industrial products are classified into 3 categories, i.e. Entering products, Foundation products, and Facilitating products.

a) Entering Products: the products, which are used as the ingredients or components of the product to be produced is entering products. Like: minerals, natural products etc. It can be divided into i) raw materials ii) fabricating materials

Types of entering products:

i. Raw materials: those are the industrial products that are very close to their natural states with almost no processing. Raw materials are unprocessed primary materials. It can be categorized into natural raw materials and agricultural raw materials.

- Natural raw materials are gifted by nature and its supply is limited. Like: minerals, products of the forests and the seas.
- Agricultural raw materials are manufactured by human efforts, the supply of its can be increased by agricultural activities like: cotton, fruits, vegetables, animal products etc.
- **Features of raw materials**:
  - Raw materials are perishable in nature.
  - Brought frequently by the industrial buyers
  - Unit price is very low
  - Supply is limited
  - Purchased in large quantity

- The cost of raw materials has a direct impact on production cost

Marketing considerations for Raw Materials

- These products must be carefully graded and highly standardized because the performance of the finished products largely depends upon the quality of raw materials.
- Short channel of distribution must be used
- No brand is preferred due to the homogeneity.
- Warranties and post sale services are not necessary
- Promotional activities is not required

ii. Fabricating parts and materials: fabricating parts are those industrial products which are assembled without further changes in any form. Like: button, zippers, batteries etc. and materials are products which undergo some degree of initial processing before they enter the products manufacturing process. Like cotton into thread, wheat into flour etc.

• **Features of fabricating parts and materials**:

- Prices are uniform and low
- Generally purchased in huge quantity

- Quality and price has directly impact on the finished products
- It is one part of final product

Marketing considerations of fabricating parts and materials

- Organization must purchase by the contract
- Direct distribution channel must be used
- Advertisement is not used for promotion
- Packaging need not be considered
- Transportation and warehousing is important

b) Foundation Products: these products are the manufacturing machines and equipment that make production possible. They are also called capital items. Like: printing machine, trolleys etc. It can be divided into i) Installations ii) accessory equipment

Types of Foundation Products:

i. Installations: installations are manufactured industrial products. These are expensive, durable and significant equipment of an industrial user. It shows the work efficiency of the organization. Like: printing machine for a press, generators in a dam etc.

- **Features of installation products**:

- Major equipment of industry.
- Price is very high
- Life cycle is very long
- Purchased less frequently
- It is in technical nature
- Brand plays a major role in the purchasing

Marketing considerations for installation

- Sales are generally conducted without involvement of middlemen - Give more preference to the quality and brand of installation rather than the price. - Personal selling is a key aspect for installation
- Marketers must focus on before sale and after sales services
- The price and profit margin must be high
- Branding is considered

ii. Accessory equipment: those are the industrial products that assist the production operations of a firm without being part of actual manufacturing process. Like: trolley, small power tools, forklifts etc.

- **Features of accessory equipment**:

  - Life cycle is shorter as compared to installation.

  - These purchased in less quantity.

  - Those are normally not considered as fixed assets.

  - The standardization of equipment plays a minor role in the quality of finished products.

- **Market considerations for accessory equipment**:

  - Price is not a prime factor.

  - Sales of these items largely depend upon their performance

  - Branding is important

  - Promotional activities are essential to increase sales.

c) Facilitating Products: those are the operating supplies that are used in the operation of the firm and machine but do not become the part of the final products. The main purpose of such products is to keep the foundation products functioning correctly. Like lubricating oils, paints, stationery, repair and maintenance services etc.

- **Features of facilitating products:**

  - They do not form the part of finished product

- Unit price is very low
- Fast and frequent purchase
- Generally purchased through mediators
- Available everywhere and can be purchased easily

- **Marketing consideration of facilitating products:**

  - Many middlemen are used for distribution, so channel of distribution is longer. - Warranties are not so important
  - Brand preference in these product is low
  - Advertisement may be the major means of promoting these product.

Product life cycle

Product life cycle

Product have limited life. Product sales pass through distinct stages, each posing different challenges to the seller. Product profits rise and fall at different stages.

- Introduction stage: first stage of life cycle. In this stage, a new idea is introduced to a market. The idea may be either a tangible product or an intangible service. It reveals the following situations:

No competitors exists in the market

Involves high marketing and production cost

Slow increases in sales and profit

High price of the products

Limited distribution due to limited production

Buyers are not aware to the new product

- The main purpose is to develop a customer market for a new product.
  - Strategies for introduction stage:

a) High profile strategy: it involve <u>high price and high promotion</u> because the consumers are not fully aware about the actual value of new product. If there is no strong competitors, this strategy is suitable.

b) Selective penetration strategy: it involve <u>high price and low promotion</u>. If most of the market is aware of the product and those who can afford to pay higher price, this strategy is suitable.

c) Preemptive penetration strategy: it involve <u>low price and heavy promotion</u>

(for larger market share in a short period). This strategy is suitable if the buyers are price sensitive and there is no potential competitors, the cost of production declines with increased level of production.

d) Low profile strategy: it involve low promotion and low price level. This strategy is suitable if the market is large, the consumers are price sensitive, there is no potential competitors and the market is aware of the product.

- Growth stage: because of informative communication, many customers will come to know about the product and the number of customers will go on increasing and also increase sale and ultimately increase the revenue. Because of profit, competitors will enter into the market and competition sales will go increasing at declining rate. This stage reveal following stages:

Increase in competitors due to increasing opportunities

Sales and profit increase at increasing rate

Demand for product increase continuously

- Main focus of marketer is to expand distribution and product-line distribution outlets increase, low price marketers follow convincing promotion than informative one.

- Strategies for growth stage:

a) Improve quality of product: during the introduction, many products may have technical problems. These technical problems must be solved in this stage. This strategy focus on improving overall quality of products.

b) Add new features and models: this stage is appropriate for introducing the new product with new features. For this no more promotional cost is needed for new models and brands.

c) Enter new market segments: in this stage, the organization should move into new market segments for rapid market expansion and to earn the profit.

d) Use new distribution channel: in first stage, organization may face difficulty in finding the distribution channel, but in this stage many distributors show their interest to distribute the goods in the market due to increasing high demand of goods.

e) Change the advertising theme: during this stage, the advertising theme must targeted for convincing the customers and create brand loyalty.

- Maturity stage: in this stage, many firms enter into market with broad range of products. Since the competition on price, promotion and product is at its highest peak, each and every company try to maintain lower price, more features in product, extended warranty. Sellers try to provide discounts and distribute free samples of product to attract customers and maintain the market. This stage revels following:

Sales and profits increase at declining rate

Profits starts to decrease

Intense competition

Entrance of diverse products in the market

Product specialization increases in the market

- In this stage, marketer invest heavily on promotion, market segmentation, adopt sales promotion strategy
- Strategies for maturity stage:

a) Market modification: under the market modification strategy, organization searches the new buyers for the product. Firm try to attract new buyers in the following ways: convert non-users into users, enter into new market segments, wins competitor’s customers.

b) Product modification: under this strategy, firm modify their products to satisfy the needs of customers. It consists of changing in style, design, quality, features and functions of the product.

c) Marketing mix modification: under this strategy, the firm tries to maintain the current sales volume by changing one or more marketing mixes. Promotion mix – must be to remind the customers, price mix – must be reduced slowly, etc.

- Declining stage: in this stage, the sales of the company goes on declining and there will be least profit or loss to the firms. As a result, it becomes very difficult for the firms to survive in the market. Many firms quit the market in search of new opportunities. In this stage, it revels following situations;

Sales decline permanently due to technological advances, fierce competition, changes in consumer taste.

Number of firms decline during the period as they quit market for new opportunities. Product offering become narrow, no scope for business

Profit begin to revive after competitors quit the market

- The marketers has three options:

i. Cut down on their marketing programs i.e. product, outlets, promotion ii. Revive the product by positioning, repackaging

iii. Terminate the product

- Strategies for declining stage:

a) Contraction of product: in this stage, generally the company must reduce their product line to a minimum. The strong brand must be continued for the business and the weak brand must be drop out form the business.

b) Adopt single distribution channel: in this stage, the firm should adopt the single distribution channel because most of the distribution channel deny dealing and distributing of goods.

c) Withdrawal of all promotions: in this stage, none of the promotional tools have any significant role on the sales of product. Therefore, it is better decision to withdrawal of all promotional tools in this stage to reduce the promotional expenses and it helps in the decrease the price of the product.

d) Abandon the product: if any above strategies does not work, firm should fully abandon the product. This decision is painful for the firm but however product abandon is wise decision than continuing with the ill product.

New product development process

- **Generation of New-Product Ideas**: idea generation discloses the creation of new ideas about the product to be produced in future. For this purpose, marketers have to collect new ideas about the product from various sources. Such as:

  - Consumer's complaints
  - Marketing research
  - Investors
  - Competitors
  - Executives
  - Marketing intermediaries etc.

- **Screening and evaluation of product ideas**: idea screening is to reduce the number of ideas collected to an attractive practicable view. This is possible only through the evaluation of the collected ideas. Evaluation of best idea relies heavily on managerial judgment and experience. A good product idea is the one, which involves relatively less expenditure but ensures long-term return and fulfills the organizational goal and objectives.

- **Business analysis**: business analysis refers to the analysis of financial strength of the organization, manpower, technology, resources, estimation of total demand and sales revenue, cost and products. Main purpose of this stage is to collect information that enables the marketer to:

- Determine the commercial feasibility of the product
- Estimate sales showing revenue, cost and profits
- Appraise product life Vs investment recovery
- Analyze the risk involved

• **Product development**: in this stage, the main task of the marketer should be to translate product idea into a technically and commercially feasible physical product. More specially, the marketer should perform the following task:

- Develop product design, packaging, branding and conduct preference

test. - Test technical quality

• **Test marketing**: before commercialized, the marketer should test the product to find out whether the product is viable for sales purpose in the long run. To find out the solution, the marketer should fulfill two basic tasks:

- Produce limited production (for sample)

- Test in the selected market areas to find out whether sales meet company's expectations.

- **Commercialization and launching of new product**: once the purpose of test marketing is over, the company is ready to produce products in mass scale for commercial purpose. In this stage the marketer must be able to decide on several critical problem:

  - Timing for market-entry
  - Geographical areas to launch the product
  - Target market where the company desires to enter
  - Develop an action plan with suitable distribution and promotional strategies

  Along with the above mentioned process, the following activities go side by side:
  - Follow-up market evaluation program
  - Feedback system
  - Re-production
  - Product modification

Branding Strategies

- A ‘Brand’ is a name, term, symbol or special design or some combination of these elements that is intended to identify the goods or services of one seller or a group of sellers. Eg: Nike, Coca-cola, Apple, Starbucks, Tesla, Microsoft, Google etc.
- A ‘Brand mark’ is the part of the brand that appears in the form of a symbol, design or distinctive coloring or lettering. Branding is an act of giving name or mark to the product. A trademark is a brand that is given legal protection under the law.

Objectives of Branding

1. Promotion: when firm make the product then they must be promoted in the market. Like: advertisement, personal selling, sales promotion, publicity required brand name.
2. Product identification: consumers can easily identify the products and differentiate them from competing products through the brand.
3. Expansion of product line: if a brand name is well established in the market, the firm can easily add new product line under the same brand. (Coke-Fanta)
4. Image building: the image of organization is build up through the branded products.

5. Quality assurance: it is perceived that the branded products are qualitative product. Marketers of branded products provide quality assurance to the product.

6. Product positioning: In order to position their product against the competition, marketers used brand image, brand value, and brand reputation.

7. Convenience: Selling and purchasing branded goods is quite simple. Sellers can easily sell branded products to buyers, and consumers can easily demand branded products.

Types of Brand

Brands are classified primarily on the basis of ownership and

product-line • On the basis of ownership of products:

1. Manufacturer’s brand: when the name of the products are given by the manufacture, such brands are called manufacturer’s brand. Eg. TATA, Nestle, Coca-cola, Apple etc.

2. Distributor’s brand: the producers delegate the right to keep the brand name of the product to marketing intermediaries. In this regard, when the products are

distributed in the name of dealers or distributors such as wholesalers and retailers, then such brands are called as distributor’s brand or dealer’s brand. E.g. Amazon, DHL, Unilever,

3. Licensed brand: licensed brand is licensed to be used from other firm. Such brands are established by manufacturer and given authority to other for their use. Firm should pay royalty for using this brand. Eg. Disney, McDonald's, Addidas, Nike etc.

• On the basis of product-line:

1. Family brand: when a single brand name is given to the products of the same product-line, it is known as family brand. Family branding incurs a lower promotional cost. Unilever, Haldiram’s, Nivea, Apple etc.

2. Individual brand: when separate brand name is used for each product of the manufacturer’s product-line, they are known as individual brands. E.g. Surya Tobacco company, Coca-cola, sprite and Fanta

3. Mixed brand: when both the family brand and individual brand are used for a product, it is known as mixed brand (combined brand). E.g.: Bajaj Pulsar

Brand Equity

- Brand equity is the value of your brand for your company. It's based on the idea that a recognized brand that's firmly established and reputable is more successful than a generic equivalent. It's also based on customer perception: customers will tend to buy a product they <u>recognize</u> and <u>trust</u>.
- Companies can create brand equity for their products by making them easily recognizable and memorable through various mass marketing campaigns, and prove themselves superior in quality and reliability.
- A brand has positive brand equity when consumers react more favorably to it than to a unbranded version of the same product.
- Brand awareness and brand experience are the two key principles of brand equity because the brand equity can be enhanced by the brand experience and the brand awareness.
- So, brand equity is the set of thoughts, feelings, beliefs and emotions of the consumers that is associated with the brand.

Packaging

- Package is the container or wrapper of a product in which products are enclosed.
- Packaging is the process of designing, producing, and using containers to store, protect, and sell products. It can also refer to the containers themselves.
- Packaging can be described as coordinated system of preparing products for transport, warehousing, sale and end use.
- According to Kotler and Armstrong, “Packaging involves designing and producing the containers or wrapper for a product.”
- So, Packaging to the preparation of a product for appropriate transportation and storage.

Levels of Packaging

• There are 3 levels of package used while packaging a particular product.

1. Primary package (first layer of package): Primary packaging is the packaging in direct contact with the product itself and is sometimes referred to as consumer or retail packaging. The main purpose of primary packaging is to protect and/or preserve, contain and inform the consumer. For beer the primary packaging could be a can or bottle, toothpaste tube, jar, glass container for liquid medicine et

2. Secondary package: Secondary

packaging is additional packaging used to hold a group of products together or to bundle several primary packages. It provides additional protection, facilitates handling, and optimizes the transportation and storage of products. Such as cardboard boxes

3. (Shipping) tertiary package: Tertiary packaging is the third level of packaging used to protect manufactured goods for shipping or storing. It is used to protect not only the product but also its secondary and primary packaging.

Functions of packaging

- The functions of packaging can be classified into 2 broad categories i.e. basic functions and selling functions

1. Basic Functions: functions performed by all types of packaging are known as basic functions.

a) Containment: packaging provides space in which a product is contained. Depending upon the nature of the products packaging in different shape, size and matter helps to contain them.

b) Protection: packaging provides physical and barrier protection to enclosed product. Like: safety from temperature, air, water, vapour, dust etc.

c) Identification: every product is packaged in a unique sized, shaped, colored container, name, brand, ingredients, usage instructions, and safety warnings that identifies and differentiates the product.

2. Selling function: functions performed by packaging regarding sale is known as selling function.

a) Communication: a good packaging communicate a number of information regarding product to consumer. Like ingredients, manufactured date, expiry date, product safety, method of use, details of manufacturer etc.

b) Promotion: packaging itself advertise the products. The shape, size, color, packaging material etc. all attract the customers and makes them confident about the quality of the product.

c) Creation of public image: packaging is instrumental in creating a pleasant image of the product in the mind of the customer. Many customers often want buying such product. In this regard, packaging helps to create a positive public image about the product.

Essential of good package

- A good package should pose the following features

(characteristics) a) Protective: protect from damage, air, dust, water,

insects, leakage etc. b) Economical: least cost to manufacture, to

fill, to handle

c) Communicate: disseminate all information like, brand, use and features of product, place and date of manufacture, name of manufacturer etc. (5 second commercial)

d) Convenient: in the use, store, carry, open and close.

e) Attractive: design, match able color combination, attractive picture, symbols etc. f) Eco-friendly: package should not create environmental pollution. (green marketing)

Product line strategies

- Nowadays, most of the organization produce more than two items of goods and services for sale.
- Product line refers to the group of closely related products that is produced by the organization with similar nature. Eg. Microsoft Corporation=Microsoft Office, Operating System etc., Coca Cola=Coca Cola, Fanta, Sprite, Diet coke, Coke zero etc.
- Product line decision involve three basic decisions: line length, line modernization and line featuring.

1. Product line length strategy: it includes total items in a product line. Organization needs to capture the market share by carrying longer lines. It involves line expansion and line contraction strategy.

a) Product line expansion: (adding new items on the current product lines) most of the organization adopt this strategy to increase the market share, to increase profit, to achieve growth, to dominate other competitors and to fulfil the request of important buyers. There are two methods of product line expansion decision like line stretching and line filling.

b) Product line contraction: (reducing the product items to maintain an optimum line length) in this decision, product line is reduced by dropping unprofitable items from the current product line.

2. Product line modernization strategy: if organization update its product line in relation of new technology, customer preference, demand of market, competitive pressure, this it is called product line modernization. The main objective of this strategy is to retain the existing customers and attract new groups of buyers.

3. Product line featuring strategy: it involve introducing one or more low priced or high priced items to attract a specific group of customers.

Product mix decision

- A product mix is the total number of product lines and individual products or services offered by a company. (complete set of products) (unilever- shampoos, detergents, soaps)

- It is also known as product assortment and product portfolio.
- Product mix decision involves product width, product length, product depth and product consistency.

a) Product width: it refers to the number of product lines that the organization handles. It can be modified by adding and dropping the number of product lines. (Product line 1,2,3 etc.)

b) Product length: it refers to the total number of product items in the product mix. It also can be modified. (product 1, 2, 3, 4 ……… upto 10 items)

c) Product depth: it refers to the number of product items or number of product versions that the organization handles under a product line. (different tooth paste variants are kids, regular, gel, sensitive, clove etc.)

d) Product consistency: it refers to the closeness of various product lines in terms of factors such as production process, distribution network, users, promotion, technology etc.

Service product strategies

- Service organizations can adopt different types of marketing strategies. Organization identify the target market and offer marketing mix of 7Ps. All the marketing strategies of service product are formulated under the 7Ps which are as follows:

1) Service product mix strategies: product mix for service involves the service lines and items. Service line can be modernized by modifying service quality, procedures.
2) Service pricing mix strategies: under this strategy, organization may use the one price strategy, flexible pricing strategy, discounting strategy. Skimming and market penetration pricing strategy can be used for service product.
3) Service distribution mix strategies: the location of service must be convenient for the consumers. Service is perishable and inseparable in nature. Therefore, direct distribution channel must be used. For some types of service product, agents are used for the distribution such as life insurance is distributed through agent middleman.

4. Service promotion mix strategies: personal selling is used for promotion of service. Also advertisement has a significance role for mass communication to the prospective buyers. Word of mouth can also be used for service promotion.

5. People mix strategies: people are the critical factors in service marketing. So, the selection, training and motivation of human resources are important activities in service marketing.

6. Physical evidence mix strategies: many customers compare the quality of serviced providers organization based on the physical evidence. So, the service provider organizations should present their quality through physical evidences. Hotels present physical evidence of quality service through elaborate decoration and beautiful gardens. Hospital present comfortable waiting rooms, barber shop presents comfortable chair, clean towels, large mirrors as physical evidence of quality.

7. Process mix strategies: service providers can adopt variety of delivery process and charge different price for services. Eg.: hotels can be lodges, star, non-star etc. These hotels deliver their service through different process and charge different prices.

Questions

1. What is product?
2. Enlist the level of product.

3. What is consumer goods?
4. Given the meaning of industrial goods.
5. What is shopping goods? Write with example.
6. Define convenience goods.
7. What is installation?
8. What do you mean by specialty goods?
9. Write about accessory equipment with example.
10. Define product life cycle and explain its characteristics of various stages of product life cycle. 10

1. Define branding.
2. Point out the objectives of brand.
3. Mention the types of brand with example. 4. What is brand equity?
5. Give the meaning of packaging.
6. Mention the functions of packaging.

7. Enlist the essentials of good packaging.

8. What do you mean by product line strategies?
Explain. 5 9. Explain the services product marketing
strategies. 5 10. Define packaging. Explain its level and
function. 10